taken Litton Industries as far as he could—he wanted to start businesses, not manage them—and Litton Industries could use professional management. Thornton thought he and the Hughes Aircraft refugees were just what Litton Industries needed—professional managers with expertise in a high-technology business. He knew he could transform Litton Industries, but first he needed $750,000 to buy it.

Despite the flimsiness of Electro Dynamics Corporation, Thornton's presentation persuaded the investment bankers at Lehman Brothers, and they agreed to raise the money to buy Litton Industries. It was purely a bet on Thornton. They did so by creating 50 units, comprising 20 bonds, 50 shares of convertible preferred stock, and 2,000 shares of common stock.[8] Each unit was offered for $29,200 for a total of $1,460,000 before commissions.[9] Thornton used the capital raised to pay Charles Litton the remainder of the purchase price and to pay off the notes from Wells Fargo, leaving around $400,000 for working capital. In 1954 Electro Dynamics Corporation became Litton Industries, and Thornton got to work implementing the strategy he'd described to the investment bankers from Lehman Brothers. As he had with Litton Industries, Thornton scoured the United States for potential takeover targets. His most difficult task was to persuade the owners that an exchange of stock was preferable to cash. He had a compelling pitch: Thornton argued that it was better to own a part share of a publicly listed company with several lines of business rather than all of a private company in a single line of business. A portfolio of diverse, centrally managed businesses with access to capital on the public markets was better able to ride out the vagaries of the business cycle than a single, private business. If the sale was completed through an exchange of shares, the event wasn't taxable, and the shares in the public company would continue to appreciate. Should they ever decide to sell, the shares were as liquid as cash. Many business owners bought Thornton's pitch, and Litton Industries grew rapidly.

By 1958, it had revenues of $83 million, earned $3.7 million in profit, and was regarded as a rapidly growing specialist in military electronics.[10] Earnings per share had grown from $0.28 to $2.13 as shares outstanding had ballooned from 525,000 to almost 1.7 million. Thornton made sure that the media knew all about Litton. Rare for the time, he engaged in publicity campaigns that touted Litton's successes, burnishing its image as a glamorous, high-technology company. He took every opportunity to discuss his *free-form management* style—really just cover for Litton's somewhat ad hoc acquisition policy. Thornton knew that the company's success turned on his ability to maintain the appearance of success. A growing share price made stock an attractive currency to the vendors of the businesses he wanted to buy, and a high share price made it an attractive currency to Thornton. Every spring the company sent its shareholders a thick, high-gloss annual